EXECUTIVE SUMMARY

1. Introduction

Calayan was founded in 1619. It was created as a municipal district of Batanes in 1896 and became part of the Province of Cagayan as a barrio of Aparri in 1902. It was declared as a separate town on March 6, 1923. The main Island of Calayan, the seat of government, is located about 100 kilometers north of Aparri. This town has a total land area of 54,953.75 hectares and is a third class municipality with twelve barangays. This municipality is an archipelago composed of small islands and islets.

The audit covered the accounts and operations of the Municipality of Calayan for the year 2020 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Calayan for the year ended December 31, 2020, with comparative figures for CY 2019, are as follows:

Particulars	2020	2019	Increase (Decrease)	
			Amount	Percentage
Financial Condition				
Assets	622,435,691.53	561,544,464.09	60,891,227.44	10.84%
Liabilities	134,424,553.64	102,730,791.68	31,693,761.96	30.85%
Gov't Equity	488,011,137.89	458,813,672.41	29,197,465.48	6.36%
Results of Operation				
Total Income	166,574,885.33	145,773,108.58	20,801,776.75	14.27%
Total Expenses	142,517,322.65	116,022,646.31	26,494,676.34	22.84%
Appropriations, Allotments and Obligations				
Appropriations	320,995,617.00	155,028,358.00	165,967,259.00	107.06%
Allotments	188,784,966.46	144,008,314.66	44,776,651.80	31.09%
Obligations	170,093,379.06	126,005,099.29	44,088,279.77	34.99%

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

	2020	2019	Increase (Decrease)	
			Amount	Percentage
Funds Received from Other Agencies				
Due to NGAs	P 23,397,311.46	P 7,000,187.32	P16,397,124.14	234.24%
Due to LGUs	2,244,945.22	1,856,758.08	388,187.14	20.91%
TOTAL	**P 25,642,256.68**	**P 1,856,758.08**	**P16,785,311.28**	189.52%
Funds Transferred to Other Agencies:				
Due from NGAs	P -	P -	P -	P -
Due from LGUs	1,207,446.32	1,910,957.91	(703,511.59)	(36.81)%
TOTAL	**1,207,446.32**	**1,910,957.91**	**P** (703,511.59)	

3. Independent Auditor's Report on the Financial Statements

We rendered a Qualified Opinion on the fairness of Property, Plant and Equipment (PPE) account due to non-submission of the Report on the Physical Count of PPE (RPCPPE), non-compliance to the one-time cleansing procedures and non-recognition of PPE accounts for major repairs and improvements amounting to P1,456,234.00 thus, casting doubt on the validity, accuracy and existence of the PPE account in the financial statements amounting to P459,415,595.78 and Cash Local Treasury – old account amounting to P2,954,782.77 which remained undeposited as at December 31, 2020 casting doubt on the existence and reliability of the said account.

4. Summary of Audit Observations and Recommendations

1. The conduct of annual physical count and one-time cleansing of Property, Plant and Equipment (PPE) account pursuant to Section 266 of the Government Accounting Manual for Local Government Units (LGUs) and COA Circular 2020-006 dated January 31, 2020, respectively, could not be verified due to non-submission of the Report on the Physical Count of PPE (RPCPPE) thus, casting doubt on the validity, accuracy and existence of the PPE account in the financial statements amounting to P459,415,595.78.

   We recommended that management require the Inventory Committee the immediate submission of the original copy of the RCPPE of the municipality for CY 2020 and observe the timely submission of the said report on or before January 31 of the following year to give ample time for the Audit Team for its review and verify compliance with the provisions of COA Circular No. 2020-006 dated January 31, 2020 to ensure that a reliable amount of PPE account is presented in the financial statements.

2. The management was not able to collect from the concerned accountable officers the remaining balance of the Cash Local Treasury (old) account amounting to P2,954,782.77 as at December 31, 2020 contrary to Section 8 of COA Circular

No. 92-382 dated July 3, 1992 and Sections 2 and 4.4 of Presidential Decree (PD) 1445 thus, casting doubt on the fair presentation of the said account in the financial statements and exposes government funds to risk of loss and misappropriation.

We recommended the Local Chief Executive, being charged with official responsibility of ensuring that all resources of the LGU shall be managed, expended or utilized in accordance with law and regulations, and safeguarded against loss or wastage through illegal or improper disposition, the following:

- Require the OIC-Municipal Treasurer to identify all persons liable for the undeposited balance of Cash in Local Treasury (old) account amounting to P2,954,782.77 and subsequently issue demand letters to the concerned accountable officers for the immediate remittance/deposit of the same;

- Instruct the Municipal Accountant to record the same to the appropriate Receivable account once the accountabilities of the persons liable are definitely established by the OIC-Municipal Treasurer;

- Exhaust all possible legal remedies to collect from the concerned accountable officers the total amount reported under Cash in Local Treasury-Old account and the same should be deposited the with the authorized government depository bank of the Municipality to avoid loss and misappropriation of government funds.

3. Payments for replacement cost of structures and improvements relative to the LGU's Right of Way management, improvement of buildings and construction of perimeter fence amounting to P1,456,234.00 were not capitalized or accounted for as an asset but were recorded as outright expense contrary to pertinent provisions in Chapter 7 of the Government Accounting Manual (GAM) for Local Government Units (LGUs) resulting in the overstatement of expense and understatement of related asset accounts thereby affecting the fair presentation of the financial statements.

   We recommended Management, thru the Municipal Accountant, to comply strictly with the provisions of Chapter 7 of the Government Accounting Manual (GAM) for Local Government Units (LGUs) and ensure that all cost attributable to the repair/improvement of assets are capitalized accordingly. Further, we recommend the Municipal Accountant to prepare the necessary adjusting entries to restore the correct balances of the assets and equity accounts.

4. The municipality received donations in-kind valued at P797,335.00 as assistance to LGUs affected by typhoon Ulysses, however, the required report on the receipt, distribution and undistributed balance of received donation/s for disaster relief was not prepared hence not furnished to this Office contrary to COA Circular 2020-009 dated April 21, 2020 thus, proper accountability and transparency could not be ascertained. Likewise, the same information were not

reflected in the Notes to Financial Statements, divergent to the disclosures required in Section VII of COA Circular No. 2014-002**.**

We recommended that management:

- Direct all concerned departments who are receiving goods in-kind from National Government Agencies or from any source, to inform and coordinate with the General Services Office (GSO), for the inspection and receipt of such goods, before issuance to the concerned end users or recipients;

- Instruct the DRRM Officer to submit the Summary/List of Donation Received, Distributed and Balances, and the Inventory of Undistributed Items at the end of each quarter to NDRRMC, through the OCD, copy furnished the Auditor, as mandated under COA Circular No. 2014-002 dated April 15, 2014 to attain transparency and accountability for all in-kind donations thereby ensuring that the donations have reached the intended recipients; and

- Instruct the Municipal Accountant to reflect the disclosures in the Notes to Financial Statements pertinent to the receipt, distribution and undistributed balances as at year-end of all donations in-kind received by the Municipality as required in Section VII (2) of COA Circular No. 2014-002 dated April 15, 2014.

5. Information on the emergency procurement of goods and infrastructure projects amounting to P12,920,096.34 to avert the adverse effects of the COVID 19 pandemic were not posted by the Municipality in the GPPB online portal contrary to the provisions of the Government Procurement Policy Board (GPPB) Circular No. 01-2020 dated April 6, 2020 which provides the Guidelines for Emergency Procurement mandated under Republic Act No. 11469, or the Bayanihan to Heal as One Act (Bayanihan Act), hence not compliant with the reportorial requirement of the law.

   We recommended management to post all the required information in the GPPB Online Portal relating to emergency procurement and comply with all other requirements to ensure transparency and accountability in the implementation of the Bayanihan Act in government procurement.

5. Summary of Total Suspensions, Disallowances, and Charges

There are no issued and unsettled audit suspension and disallowance as at December 31, 2020.

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the fourteen (14) audit recommendations embodied in the prior years' Annual Audit Report, six (6) were fully implemented, four (4) were partially implemented and four (4) were not implemented as at year-end.